

OF CONSTRUCTIVE TRUSTS.

1. **General doctrine.**—A *constructive trust* (*a*) is raised by a court of equity, *wherever a person, clothed with a fiduciary character, gains some personal advantage by availing himself of his situation as trustee*;¹ for as it is impossible that a trustee should be allowed to make a profit by his office, it follows that so soon as the advantage in question is shown to have been acquired through the medium of a trust, the trustee, however good a *legal* title he may have, will be decreed in *equity* to hold for the benefit of his *cestui que trust*.

2. **Renewal of leases.**—A common instance of a constructive trust occurs in the renewal of leases; the rule being, that if a trustee (*b*), or executor (*c*), or even an executor *de*

(*a*) As to the meaning of the term "constructive trust," see page 108, *suprà*.

(*b*) *Griffin v. Griffin*, 1 Sch. & Lef. 354, *per* Lord Redesdale; *Pickering v. Vowles*, 1 B. C. C. 198, *per* Lord Thurlow; *Pierson v. Shore*, 1 Atk. 480, *per* Lord Hardwicke; *Nesbitt v. Tredennick*, 1 B. & B. 46, *per* Lord

Manners; *Turner v. Hill*, 11 Sim. 13, *per* Sir L. Shadwell.

(*c*) *Walley v. Walley*, 1 Vern. 484; *Holt v. Holt*, 1 Ch. Ca. 190; *Abney v. Miller*, 2 Atk. 597, *per* Lord Hardwicke; *Killick v. Flexney*, 4 B. C. C. 161; *Pickering v. Vowles*, 1 B. C. C. 198, *per* Lord Thurlow; *Luckin v. Rushworth*, Finch, 392; *Anon.* 2

¹ **CONSTRUCTIVE TRUSTS.**—*Definition.*—"Constructive trusts include all those instances in which a trust is raised by the doctrine of equity for the purpose of working out justice in the most efficient manner, where there is no intention of the parties to create such a relation, and in most cases contrary to the intention of the one holding the legal title, and where there is no express or implied, written or verbal, declaration of the trust"; 2 Pom. Eq. Jur. § 1044; *Perry on Trusts*, § 166; *Pillow v. Brown*, 26 Ark. 240; *Hollingshead v. Simms*, 51 Cal. 158; *McLane v. Johnson*, 43 Vt. 48; *Thompson v. Thompson*, 16 Wis. 91; *Collins v. Collins*, 6 Lans. 368; *Griffith v. Godey*, 113 U. S. 89.

Actual fraud.—No complete and satisfactory definition can be given, but it includes all acts, omissions, and concealments constituting a breach of duty, trust, or confidence, resulting in an unfair advantage to one and an injury to another; 1 Story Eq. Jur. § 187; *Gale v. Gale*, 19 Barb. 251. Though at law